I Just Need to Get Back to Even

> *Mike had learned to distrust his research. What he had not learned was to stop keeping score. A spreadsheet tab called "Recovery" was about to choose the size of his next trade.*

Sam Vishwas · Behavioral Finance · The Break-Even Effect & Mental Accounting



After ForgePath, Mike understood what he had done. He had built a case instead of testing one. The research had not protected him. It had given him better language for a conclusion he already wanted.

The larger loss was still there.

Mike had sold most of his broad-market ETF to fund SentinelForge. That decision was already closed. The shares were gone. But he had opened a separate tab in the same workbook and called it "Recovery." It tracked a simple dollar gap: how much he still needed to recover from the earlier losses. ForgePath had made the number worse. The tab stayed open.

One night, Mike sat with the spreadsheet and ran the numbers on a new idea: Meridian Systems, a mid-sized company in industrial components. The research was solid. The falsification criteria he had written after ForgePath were not triggered. The balanced log had real arguments on both sides.

His normal size for a position like this would have been fifteen thousand dollars.

He looked at the Recovery tab. The gap was a little over nine thousand dollars. If the new idea delivered a reasonable outcome, fifteen thousand dollars would not close it. Twenty-eight thousand dollars would.

Mike told himself the setup was cleaner than usual. The downside looked more contained. The risk-reward justified a larger allocation. Twenty-eight thousand dollars was still inside the position-size limit he had set for himself months earlier. It just happened to be the number that made the Recovery tab disappear under a good outcome.

He told himself he would tell Sarah once it came back.

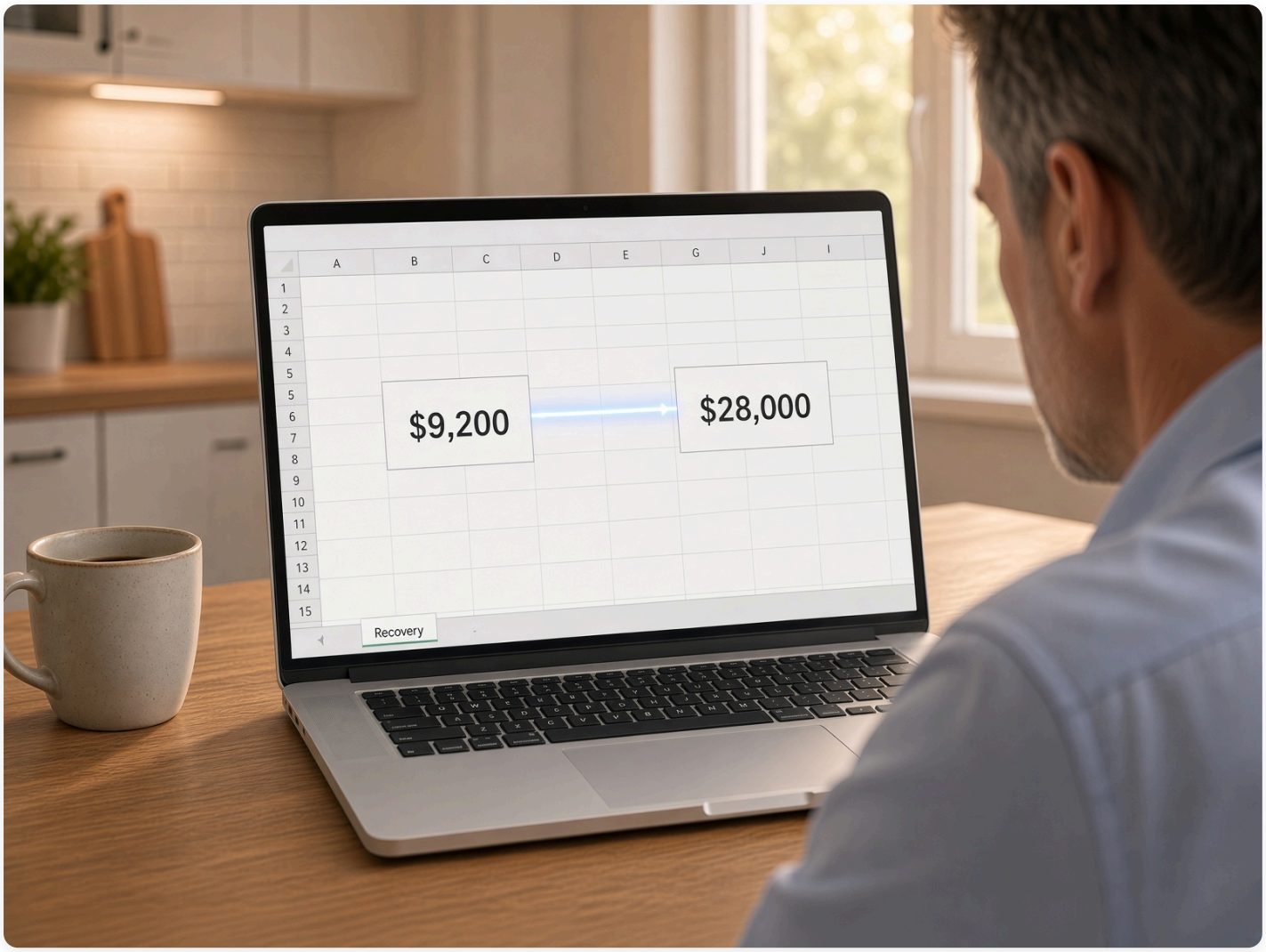
The trade worked.

Earnings beat expectations. Over the following weeks, the stock moved higher. When Mike closed the position, the Recovery tab showed zero. The gap was gone.

He felt relief immediately. He told himself the process had held. He had found a reasonable idea and sized it within his rules.

A few days later, Mike opened the workbook again. He was looking at a different idea when he noticed the old formula still sitting in the Recovery tab. It linked the size of the previous gap to the position he had just closed. He had not deleted it.

He sat with it for a moment.



The formula he never deleted: a $9,200 gap linked straight to a $28,000 position.

He had started from the number he needed and worked backward. The research had been fine. The size had not.

That evening, Sarah came into the kitchen as he was closing the laptop.

“Is that the position you were managing?” she asked.

“It’s fine now,” Mike said. “It came back.”

It was true as far as the money went. It was the only part of the story she would hear.



Sarah walks in as the laptop closes. She hears that it came back, and nothing else.

What Actually Happened?

The new idea was reasonable. The problem was not the thesis.

The problem was that the Recovery tab had become part of the decision. Mike had calculated how much capital was required to close the gap under a plausible outcome, and then he had found reasons why that larger size made sense. Fifteen thousand dollars would have been his normal allocation. Twenty-eight thousand dollars was the number that erased the tab.

If Meridian Systems had fallen 25 percent, the larger position would have cost him roughly seven thousand dollars instead of under four thousand. The Recovery tab would have grown instead of closing at the moment he could least afford it.

The tools Mike built after ForgePath did not catch this. The falsification test checked whether the idea could be proven wrong. The balanced research log checked whether he had looked at both sides. Neither of them asked whether the size he was choosing was being set by an old loss.

The Science Behind It

The **break-even effect** describes a specific pattern. Richard Thaler and Eric Johnson found that when people are behind, they become more willing to accept risks they would normally avoid, particularly when those risks offer a chance to get back to even. The opportunity is no longer judged only on its own merits. It is also judged by whether it can close an open gap.

This rests on **prospect theory**. Daniel Kahneman and Amos Tversky showed that people evaluate outcomes relative to reference points. Once a prior portfolio value becomes the reference point, returning to that number can feel more urgent than the expected return of the next decision. The same reference-dependent thinking that once made Mike sell a winner too early now pushed him toward taking more risk to recover a loss.

Mental accounting makes the pattern durable. Richard Thaler's work shows that people frequently treat money differently depending on which mental account it belongs to. Mike had created a separate ledger for the loss. As long as the Recovery tab existed, the loss was not finished. It was an open obligation.

Alex Imas found that realizing a loss usually closes the mental account and reduces risk-taking afterward. Paper losses tend to push people toward more risk. Mike had sold the shares, but the Recovery tab kept the loss alive in his head.

Professionals are not immune. Joshua Coval and Tyler Shumway studied professional futures traders. Those who lost money in the morning took on more risk in the afternoon. Expertise does not stop an old number from shaping the next decision.

Your Behavioral Takeaway

The break-even effect is difficult to notice because it often arrives dressed as higher conviction. The following tools are designed to interrupt it.

1. **The Clean Slate Test:** Before entering a new position, ask: "If the previous loss had never happened, would I still take this exact trade at this exact size?" If removing the old loss changes the answer, the prior outcome is influencing the decision.
2. **The Drawdown Circuit Breaker:** Set a drawdown threshold and review period in advance. For example, if realized losses exceed 5 percent of portfolio value within 90 days, temporarily cap new positions at half their normal maximum for the next 60 days and complete a written review of your last three trades. Treat these numbers as an illustrative starting point, not a universal rule. Adjust them to your strategy and risk limits. The restriction ends based on time and process, not on a winning trade.
3. **Close the Mental Ledger:** Record the loss and the lesson in your decision journal. Then remove any separate recovery target, tally, or break-even number you have been tracking. Keep accurate financial records. Stop treating the past loss as a debt the next trade must repay.
4. **The Break-Even Red Flag:** If you catch yourself calculating the position size or return required to get back to even, stop and run the Clean Slate Test before proceeding. Calculating a break-even point is not the mistake. Letting that calculation determine which idea you choose or how much risk you accept is the warning.

The market does not know where your portfolio peaked or how much you lost on a previous trade. Those numbers can shape your decisions. They do not change the expected return of the next one.

> ***Mike had closed the gap. He had not closed the habit. The Recovery tab was gone. The conversation with Sarah was still waiting.***

FURTHER READING & REFERENCES

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Sam Vishwas is the founder of OTS Ullu, a FinTech platform built to help everyday investors make smarter, psychology-aware decisions in the markets. With a deep passion for behavioral finance and more than a decade of experience in technology and investing, Sam writes to bridge the gap between cutting-edge academic research and practical, real-world wealth building.

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